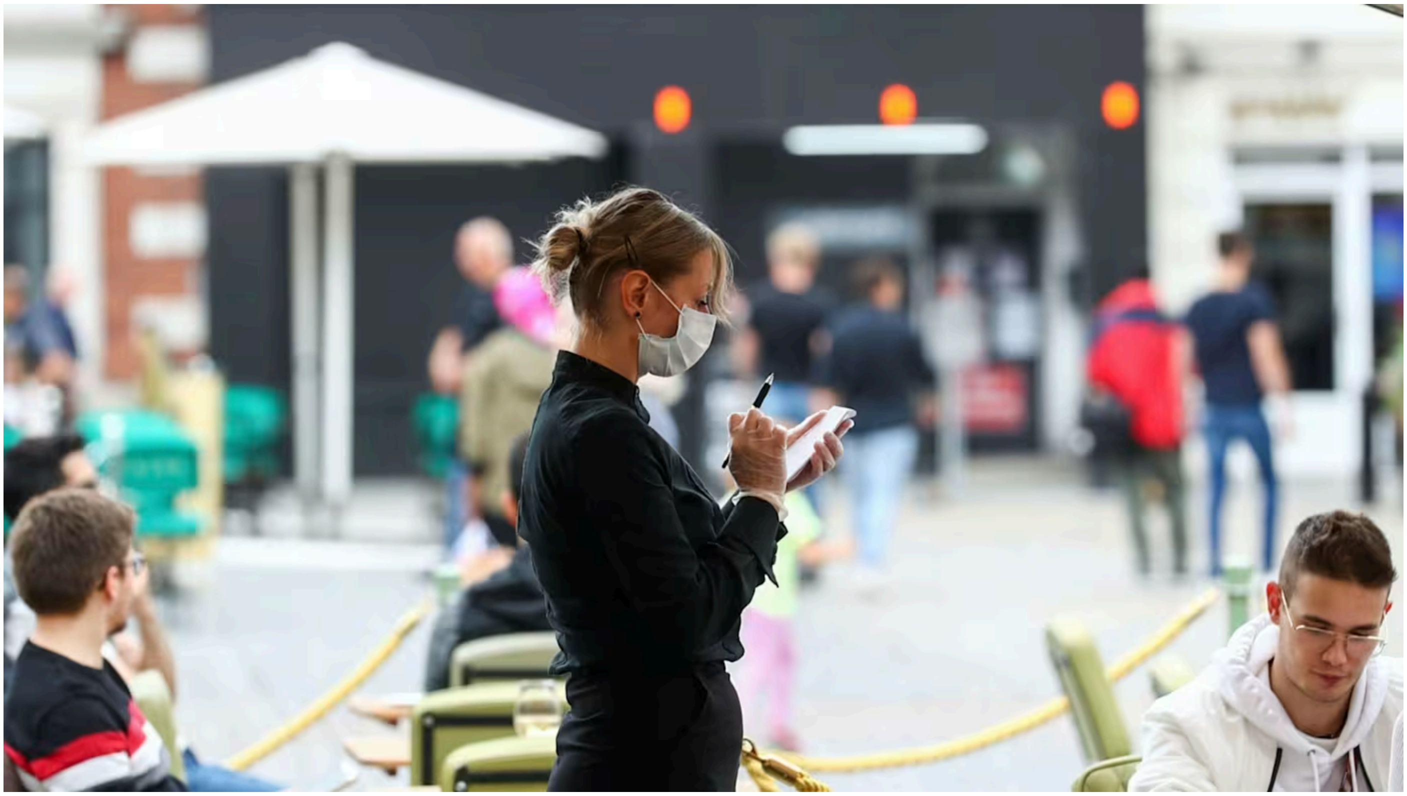
UK inflation

UK inflation rises to highest level since 2011

Bigger than expected jump to 4.2% in October adds pressure on Bank of England to raise interest rates



The increase in prices was driven by higher prices in transport, hotels and restaurants © Bloomberg

Valentina Romei in London

Published NOV 17 2021

Pressure on the Bank of England to raise interest rates is mounting after inflation reached its highest level in almost a decade in October, threatening to tighten the squeeze on living standards in the UK and destabilise economic growth.

Surging energy prices pushed inflation above BoE expectations, with prices rising across a range of sectors last month, increasing the likelihood of a 15-basis points rate rise by the Monetary Policy Committee in December.

The October consumer price index rose 4.2 per cent from a year ago — the highest level since November 2011 — after a 3.1 per cent increase in September, according to figures from the Office for National Statistics released on Wednesday.

The figure is more than double the BoE's 2 per cent target and surpassed the 3.9 per cent forecast by both the bank and economists polled by Reuters.

Yael Selfin, chief economist at KPMG UK, said the data "may seal the Bank of England's resolve to raise rates in December, following the strong labour data released this week" that showed the number of payrolled employees rose by 160,000 to 29.3m between September and October, after the end of the furlough scheme.

Janet Mui, investment director at wealth manager Brewin Dolphin, agreed that a rates increase was "very likely".

Boris Johnson, prime minister, giving evidence to senior MPs on Wednesday, said inflation was a factor of rising energy prices, supply chain problems and "an economy coming out of Covid".

He said a tight labour market was better than mass unemployment after an economic shock. "I'd rather have a situation where there was a big demand for labour and an economy recovering strongly," he said.

Johnson rejected suggestions that the government was encouraging companies to hike wages, even if productivity was not rising, and risking wages and prices spiraling.

"I think people should be paid fairly for what they do. But wages and prices are not for the government to set," he said.

Sterling rose 0.4 per cent against the euro to €1.19 on Wednesday morning as markets primed for a December rate rise by the BoE.

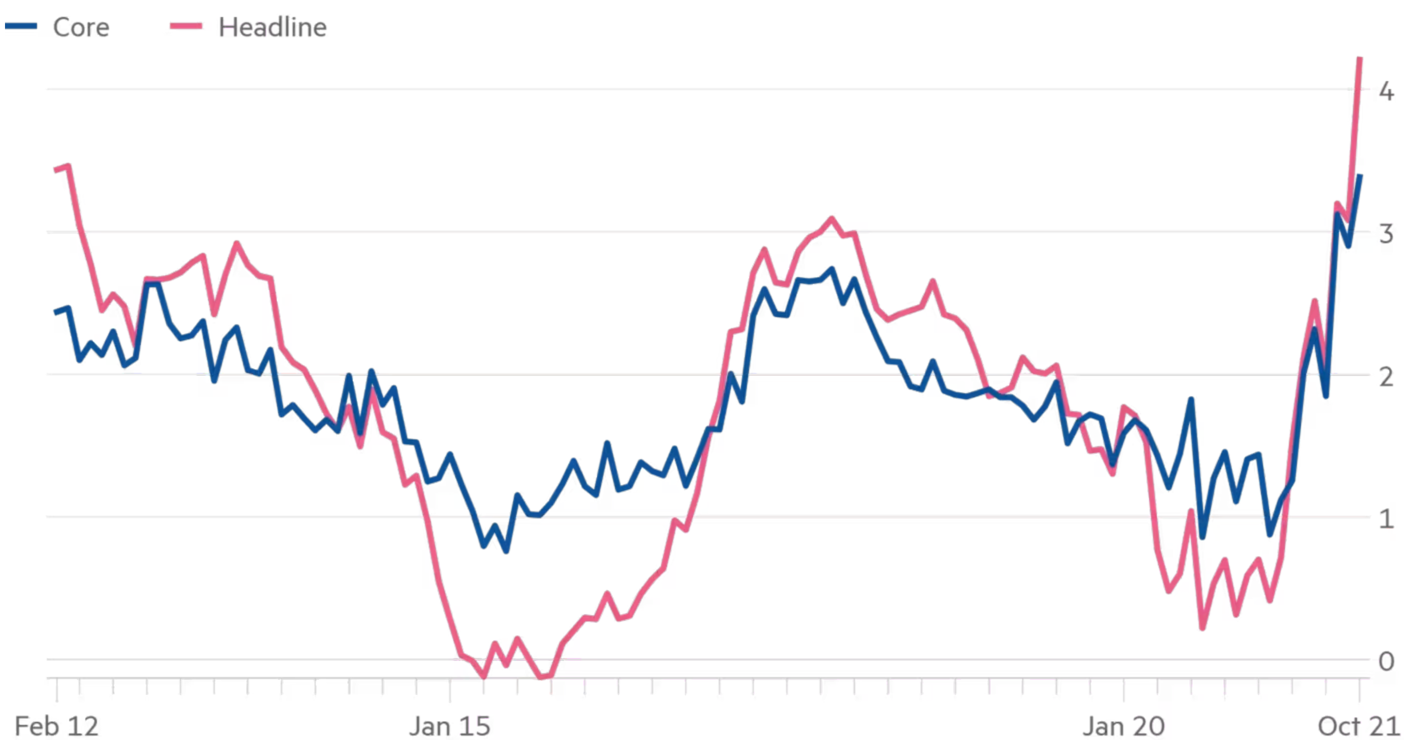
But some economists have warned that inflation will be felt in the pocket, leading people to dip into their savings and erode household spending power in the lead up to Christmas, the busiest shopping season of the year.

Rachel Reeves, shadow chancellor for the opposition Labour party, said the October data were "extremely concerning given the growing cost of living crisis". She added that rising prices would leave households more than £1,000 worse off.

Some expect the impact on economic growth to be felt well into the new year. Because of the effect of inflation on household incomes and spending, "we are not expecting the economy to grow very fast in Q4 this year or in Q1 next year," said Paul Dales, chief UK economist at Capital Economics.

UK inflation rises to a near decade high

Annual % change on consumer price index



Sources: ONS, Refinitiv

British consumer prices were up from an annual rate of only 0.7 per cent in October last year, marking the largest 12-month increase since at least 1989 when comparable records began.

Last month's increase was driven by household energy bills which shot up by 23 per cent after Ofgem, the energy regulator, lifted its price cap to reflect the higher price of wholesale gas globally.

Economists have warned that rising electricity and gas costs will be shouldered by those least able to afford it. “Increases in the cost of gas and electricity bills disproportionately affect the lowest income households,” said Heidi Karjalainen, research economist at the Institute for Fiscal Studies, a think-tank.

She predicted “more troubles in store” for low-income households following a further lift to the cap during Ofgem’s twice-yearly update in April.

By April, an individual with a salary income of £30,000 would need to see nominal wage growth of 7.1 per cent to maintain the same standard of living given the inflation rate and the effects of recent tax changes, including the new social care levy and freeze in the personal allowance, according to the IFS.

Inflation was also propelled by a rise in the cost of second-hand cars and fuel, both up by an annual rate of more than 20 per cent, reflecting supply disruptions in the automotive sector and strong demand from people avoiding public transport due to the risk of Covid-19.

The restaurant and hotel sector also contributed to higher inflation with prices in accommodation services increasing 13 per cent, linked to a rise in the value added tax rate for hospitality, leisure and tourism businesses.

Core inflation, which excludes more volatile energy and food, rose more than expected to 3.4 per cent, from 2.9 per cent the previous month, suggesting that the upward price pressure was broad-based.

The list of price crunches linked to this inflation rise “goes on and on”, said Reeves.

In the short term, the BoE expects consumer prices to rise to 4.5 per cent in November and to peak at about 5 per cent in April, reflecting high energy prices and continued strong demand for goods bumping against supply-chain disruptions.

Businesses have called on the central bank to do what is necessary to bring inflation under control. Kitty Ussher, chief economist at the Institute of Directors, which represents business leaders, said "at this point in time firms are far more worried about underlying inflation than the rising cost of debt".

"With interest rates at historic lows, we're calling on the Bank of England to show it means business and get inflation expectations back in line with their mandate," she added.

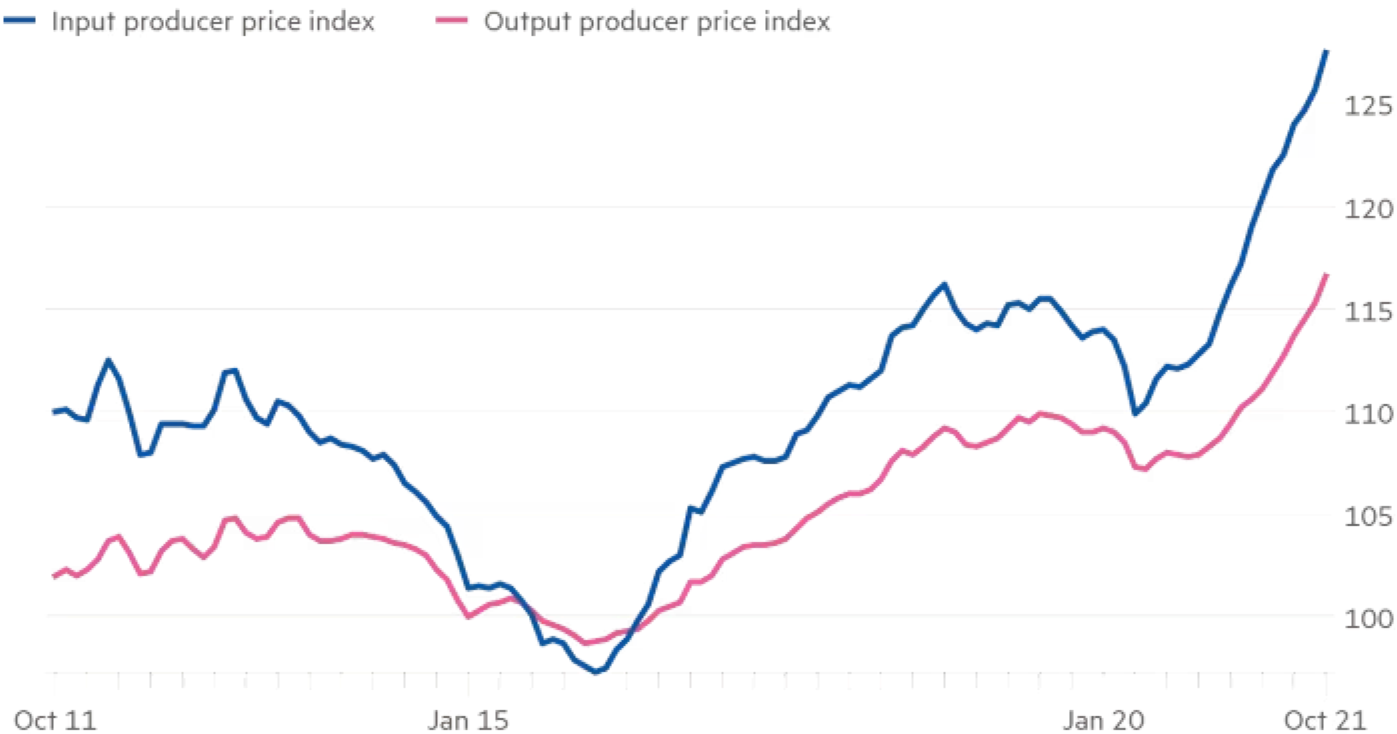
However, Jack Leslie, senior economist at the Resolution Foundation think-tank, argued that "while painful for households, the fact is that the global nature of these inflationary pressures mean that traditional tools such as raising interest rates are likely to have little effect".

The BoE has predicted inflation will start to slow from the spring as high energy prices and supply chain disruptions are expected to ease.

Business profits have also been threatened by a substantial rise in the cost of goods produced by factories and of raw materials. The annual rate of producer input prices jumped to 13 per cent in October, from 11.4 per cent in the previous month and the highest for at least 10 years.

UK producer prices are rising fast

Indices rebased, 2015=100



Source: ONS
© FT

The UK is not the only country where household incomes are being eroded by rising prices. Last week, the US reported that consumer prices in October rose at their fastest pace in three decades, while eurozone inflation last month rose at its fastest pace in 13 years.

"Many countries are experiencing higher inflation as we recover from Covid, and we know people are facing pressures with the cost of living," UK chancellor Rishi Sunak said on Wednesday.

To tame inflation the BoE will have to strike a delicate balance. Failing to raise interest rates enough could result "in higher inflation for longer" said Dales of Capital Economics; raising them too far could "reduce inflation but at the expense of a weaker economy".

Follow the topics in this article

UK inflation

UK interest rates

Bank of England

Valentina Romei